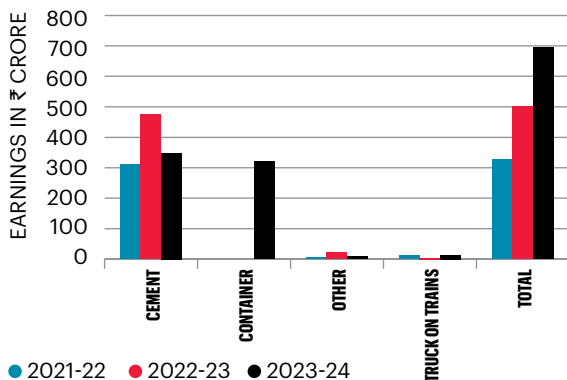


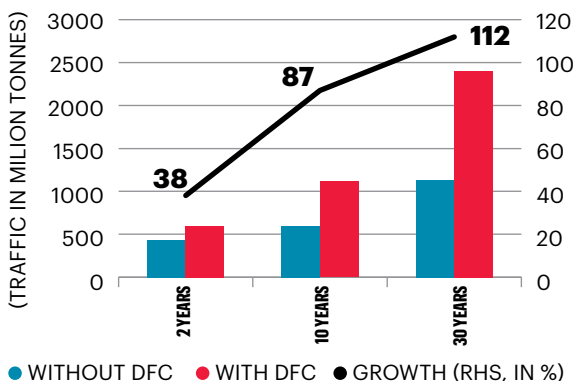
THE IMPACT

- DFC has led to an increase in freight loading across segments
- The overall revenues of DFCCIL rose 38% YoY in FY24 to ₹693 crore

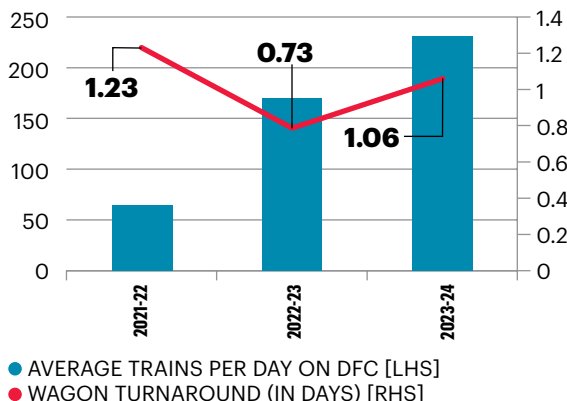
Impact on loading



Traffic estimates



Operational performance



SOURCE DFCCIL

25 kmph on the Indian Railways network.

This hasn't escaped attention. Steadily, the DFCs have started attracting major freight players, with containers and cement loading increasing nearly 50% in FY23, as they facilitated the movement of 7,560 rakes and earned ₹501 crore, against 5,053 rakes earning ₹326.44 crore in FY22. However, it dropped 33% in FY24 to 5,654 rakes, with a reduction in cement loading due to heavy rains and other factors. But thanks to an increase in container traffic and the launch of the Truck on Train (ToT) service—where trucks are loaded directly on the train—its revenue touched ₹693.23 crore, an increase of 38% over the previous year.

Among the services, ToT has found an eager audience in the dairy behemoth Amul, which uses it to send milk to Delhi-NCR. The country's largest carmaker, Maruti Suzuki India, too, is a client. "It is also used for sending auto components and engineering equipment from Delhi-NCR to western India," R.K. Jain, Managing Director of DFCCIL, tells *BT*. "For e-commerce players, special cargo services have been introduced using new modified general coaches. This drastically cuts transit time and saves on fuel and manpower costs for road trucks, resulting in great savings."

Chintan Dilip Lakhani, Vice President & Sector Head-Corporate Ratings at rating agency ICRA Ltd, says DFCs are expected to decongest an already saturated rail network and help shift freight transport to more efficient rail with improved operational features like higher axle loads, enlarged dimensions, and higher speed. "Efficient usage of the DFC and the development of ancillary infrastructure like warehouses and improved last-mile connectivity remain important for a meaningful shift from roads to railways," he says.

The Association of Container Train Operators (ACTO), whose members hold permits to run container trains across India, says the DFC has the potential to bring about a 15-20% shift from road to rail.

"There are three things that need redress. First, operational issues with transit: better running, less stabling due to the unavailability of crew, so assets become more efficient. Second is rational pricing of freight, and third is related to flaws in wagons designed for double stacking as the newer container wagons have some technical restrictions on how much load you can double stack which is less than the older ones," says Manish Puri, President of ACTO.

THE DFCCIL'S EFFORTS seem to be showing results, though they are modest. In FY23, the proportion of containerised cargo moving through rail increased marginally compared with road. Freight